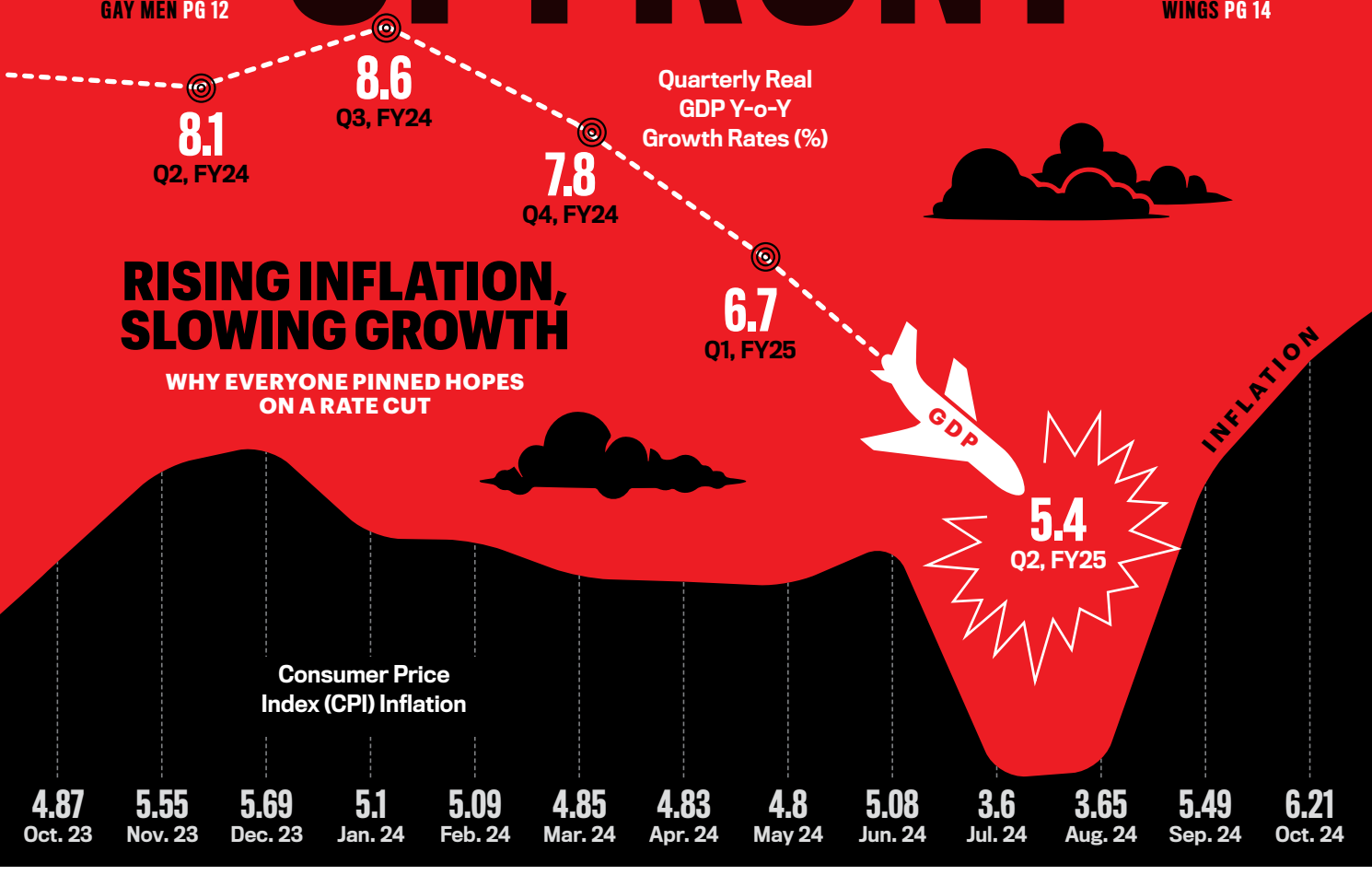
JHARKHAND: A BOLD RESTART PG 9

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UPFRONT



INFLATION VS GROWTH

ERRING ON THE SIDE OF CAUTION

By M.G. Arun

It was a toss-up between slashing interest rates to aid economic growth and leaving them as they were to quell inflation worries. The six-member, Shaktikanta Das-led monetary policy committee (MPC) of the Reserve Bank of India (RBI) made a 4-2 decision against a rate cut. It meant the repo rate—the rate at which commercial banks borrow from the RBI—would remain at 6.5 per cent. The central bank, Das said in what was his final press meet as RBI governor following the MPC meetings that concluded on December 6, would, true to its charter, "remain unambiguously focused on a durable alignment of inflation with the target, while supporting growth". With Das's steady hand off the wheel on December 10, Sanjay Malhotra, an IAS officer of the 1990 batch and revenue secretary in the Union finance ministry, has been appointed as the new RBI governor.

Das, who as governor had a veto power in the MPC, chose not to deviate from the conservatism he has main-

Graphic by TANMOY CHAKRABORTY